

# **IBD Set up guidelines for IBENCHMARK**

Connect Data Science

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# 1 *DATA SCIENCE METHOD D&D RECOMMENDATION*

The object of this document is to create a general guideline for the initial set up of the Price Groups will be used during scan quality checks for Ibenchmark

## 2 IBENCHMARK BACKGROUND

Ibenchmark is part of the set of scan validation process that NielsenIQ applies to identify and correct cases where there is a mismatch between value and units sent by the data supplier.

This process is performed at item/store level by checking current period price versus mean price, which is calculated for a set of homogeneous stores (the Price Groups we are going to use)

### 3 PRICE GROUP. GENERAL GUIDELINES

- Price Groups should be homogeneous based on prices.
- Price Groups should not be overlapping.
- Price Groups should be exhaustive - all stores to be part of one Price Group.
- Price Groups should be cell based - All participating cells should be participating fully - all shops in the cell should be part of Price Group
- Price Group should have at least 30 shops. It doesn't mean that its shoptype will be in a different Price Group, as we can merge shoptypes that are homogeneous in Price, such as Hypermarkets, large or medium Supermarkets. However, it doesn't mean that we need to club for example Petrol Station with Large Grocery Supermarkets just to have a panel greater than 30. If let's say Petrol Station as a Price Group has 15 shops, we should still accept in the absence of any other similar shop type showing similar homogeneity in prices.
- Price Group should have more than one data provider (Retailer, vendor, ...) to avoid wrong data from the data provider will bias or create incorrect Mean\_Prices.

## 4 PRICE GROUP EVALUATION

One of the recommendations of IBD setup is to have homogenized prices. In order to evaluate it, we may use ANOVA test. Analysis of variance (ANOVA) test is used to analyze the differences among group means in a sample.

Ideal V value ~ 50%

For country with small sample or having less IBD group, may consider using Coefficient of Variation (CV) instead.

$CV = \sqrt{\text{Var unitary price}} / \text{Avg unitary price}$

In case the CV of an IBD is extremely high, it's important to review if there is a need to combine or split the IBD grouping, as high CV indicate that the variation of prices within the IBD is huge.